Diodes

DIOD | Nasdaq | 2026-10-11

Q4 2027 model ceiling: USD 166.02

Analytical Base 44/60 = 73 | Qualified component growth and margin recovery / Watchlist

20x rolling calendar quarter plus next three quarters of fully expensed parent operating profit, less end-window debt and expected unpaid acquisition consideration net of cash above a USD150m operating reserve, divided by end-window diluted common shares.

Coverage initiated at the owner's request. No holding was established by this research. Existing portfolio Base overrides remain protected.

All operating values are in USD million and shares in millions unless stated otherwise. Forecasts are analytical assumptions; issuer guidance and actual results are identified separately.

Writing-date snapshot: USD 94.94 per share (2026-10-09 regular close, 16:00 EDT); 46.052 million common shares (2026-07-30 latest verified 10-Q cover); estimated equity capitalization USD 4,372.1 million. Nasdaq common stock; issuer/LSEG close split factor 1:1. Common count is distinct from prospective 0.525m dilutive awards and future issuance. This dated common-share snapshot is separate from forecast diluted shares.

Growth or re-rating: 59% growth under the owner's sequential-percentage heuristic (41% re-rating / 59% growth). Uses the dated 2026-10-09 regular close, 16:00 EDT price, Q4 2026 ceiling and Q4 2027 ceiling at the artifact's own valuation basis. This compares two percentage moves with different denominators; it is not an additive return attribution or a measurement of actual P/E expansion. The classification changes with price and forecasts.

Decision in the model

Active horizon	Earnings window	F4Q OP	Multiple	Diluted shares	Ceiling
Q4 2027	Q4 2027 through Q3 2028	374.0	20x	47.076	166.02

The ceiling is a model valuation, not a guaranteed trading price or a literal net-income P/E. Operating branches are weighted once. Where debt, preferred claims, conversion or equity floors make value nonlinear, the model values each coherent operating and funding state first, then weights those common-share outcomes.

Economic scope and matching claims

Fully expensed operating profit includes R&D, SBC, production depreciation, operating lease expense and acquired intangible amortization. Pretax minority earnings are deducted before capitalization. Private investment gains are excluded; no private-investment asset credit.. 20x rolling calendar quarter plus next three quarters of fully expensed parent operating profit, less end-window debt and expected unpaid acquisition consideration net of cash above a USD150m operating reserve, divided by end-window diluted common shares.

Financial claims and diluted shares follow the company-specific schedule below. Debt, preferred and minority claims are counted once. All financial model tables use USD million unless a different unit is stated.

Thesis

Research date: October 11, 2026. Nasdaq common stock DIOD. Financials and operating forecasts are in USD millions; shares are in millions. Ownership is not established. This is a completed new-company research model, not an assertion that Diodes is held.

Investment judgment

Diodes offers a broader route into AI infrastructure than its name suggests. Power devices, protection, timing and connectivity can attach to the motherboard, power system, network switch and storage path. These are relatively small invoices, but many are essential to making an expensive system work. Customer qualification, yield and reliable delivery matter more than a simple count of nominal wafers.

The investment case is a combination of growth and margin recovery. The company has a large mature analog and discrete business, so this is not a pure AI accelerator or optical-laser exposure. The model uses reported guidance as the near-term reference, then adds a separately weighted qualification/content opportunity and a modest selective-pricing hypothesis. It also carries a mature-demand downside branch. ElevATE is now an acquired operating business, with its purchase price and amortization included.

The analytical Base is 73. The Q4 2027 ceiling is $166.024228 per common share under 20 x forward-four-quarter fully expensed parent operating profit. This is an operating-profit valuation, not a 20 x EPS calculation. The model retains SBC, R&D, production depreciation, acquired-intangible amortization and operating lease expense. A numerical ceiling is conditional on the forecasts and does not guarantee a trading outcome.

For the owner's dated Upside Driver classification, the October 9 price is $94.94, the first displayed Q4 2026 target is $120.360275, and Q4 2027 is $166.024228. Applying the approved sequential-percentage method gives approximately 59% Growth and 41% Re-Rate. This is a mixed story with a modest growth majority, not a direct measurement of earnings growth versus actual multiple expansion. The website must recalculate it when price or the chosen multiple changes.

Business mix and the latest reported quarter

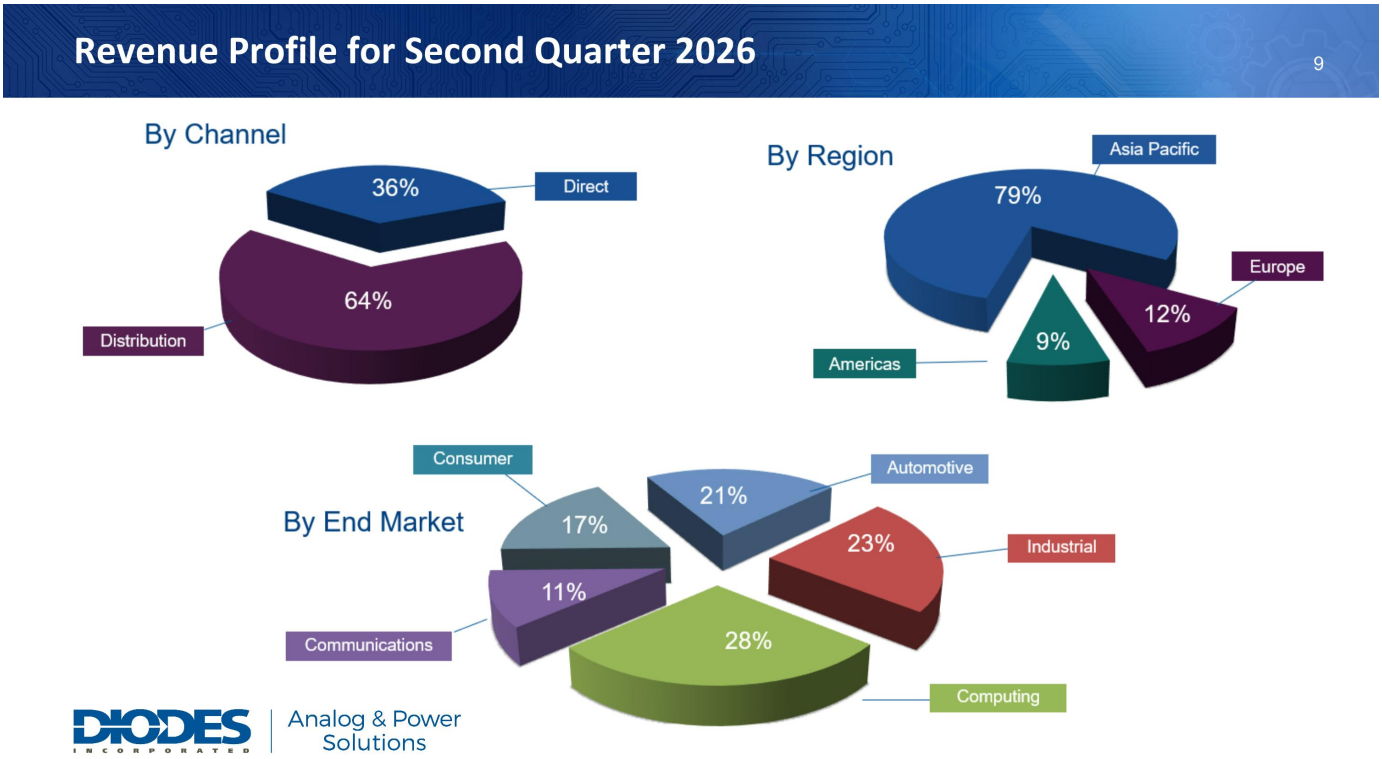
The June quarter reported $445.529 m revenue, $147.566 m gross profit and $33.290 m operating profit. Gross margin was about 33.1%. The first half generated $850.996 m revenue and $53.055 m operating profit. The company had delivered six consecutive quarters of double-digit year-over-year revenue growth by the August call.

The reported Q2 product mix was 21% automotive, 23% industrial, 28% computing, 17% consumer and 11% communications. Automotive grew 37% year over year, computing 33% and industrial 24%; communications declined 3%. These are end-market disclosures rather than audited operating segments with their own profit

statements. For modeling, the proportions are applied to total core sales as an allocation proxy. Any foundry or other difference is contained in the consolidated reconciliation, not treated as a separately verified segment.

About 64% of sales flowed through distribution and 36% directly. Ship-and-debit pricing, returns and customer inventory therefore deserve attention. Management reported that channel weeks and dollars fell again and that inventory weeks were below the normal 11-14 range. It said it did not see double ordering. That is meaningful counter-evidence to an immediate channel collapse, but it does not eliminate a future semiconductor inventory cycle.

Asia represented 79% of sales by shipment geography, with Europe 12% and North America 9%. That is not evidence that 79% of final consumption is Chinese. The manufacturing, customer and logistics concentration still creates tariff, export-control, foreign-exchange and geopolitical exposure.



Q2 2026 financial presentation, printed slide 9 | End-market percentages apply to product revenue. Modeling them against total sales is an explicitly labeled allocation proxy.

AI content: count the invoice once

The investor presentation identifies a potential $267 component wallet across an AI system ecosystem: $109 motherboard, $50 power, $73 network switch and $35 storage/interconnect. The motherboard itself divides into $22 analog, $20 discrete and $67 timing/connectivity. These are addressable component opportunities. They are neither disclosed achieved revenue per GPU nor an instruction to multiply every announced GPU by $267.

Actual capture depends on the particular platform, socket wins, supplier share, units, price and timing. A customer can buy several Diodes components, but adding the motherboard content again after using the total wallet would duplicate the same invoice. Management has not provided a numerical AI revenue split, despite an analyst asking about it. The model therefore does not relabel all computing, industrial power or communications revenue as AI.

The useful mechanism is rising functionality around the processor. Faster links need timing, signal conditioning and protection. Higher current and voltage density increase the demands on switching, sensing, isolation and protection. Those functions can expand even when an individual processor's selling price falls. The components

still face competition from integrated solutions and other qualified suppliers; higher system value does not entitle Diodes to the system's economics.

The reference model grows computing from a modeled $660 m in 2027 to $915 m in 2030. This is a company revenue assumption supported by existing design activity and near-term momentum. It is not a calculation from an independently verified AI-unit forecast. The additional qualification branch counts only revenue above that reference.

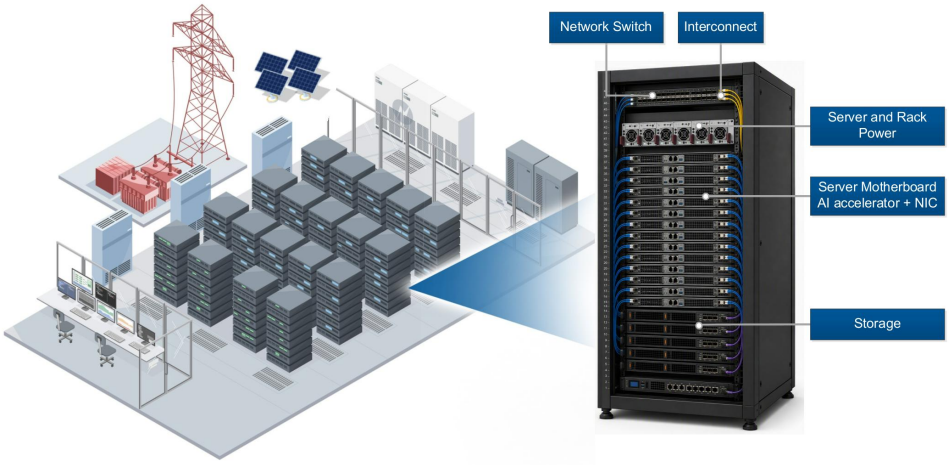
AI Ecosystem – Data Center

19

Diodes' Key Products	$ / Box
Server Motherboard	$109
Server Power Solution	$50
Network Switch	$73
Storage and Interconnect	$35
Total	**$267**

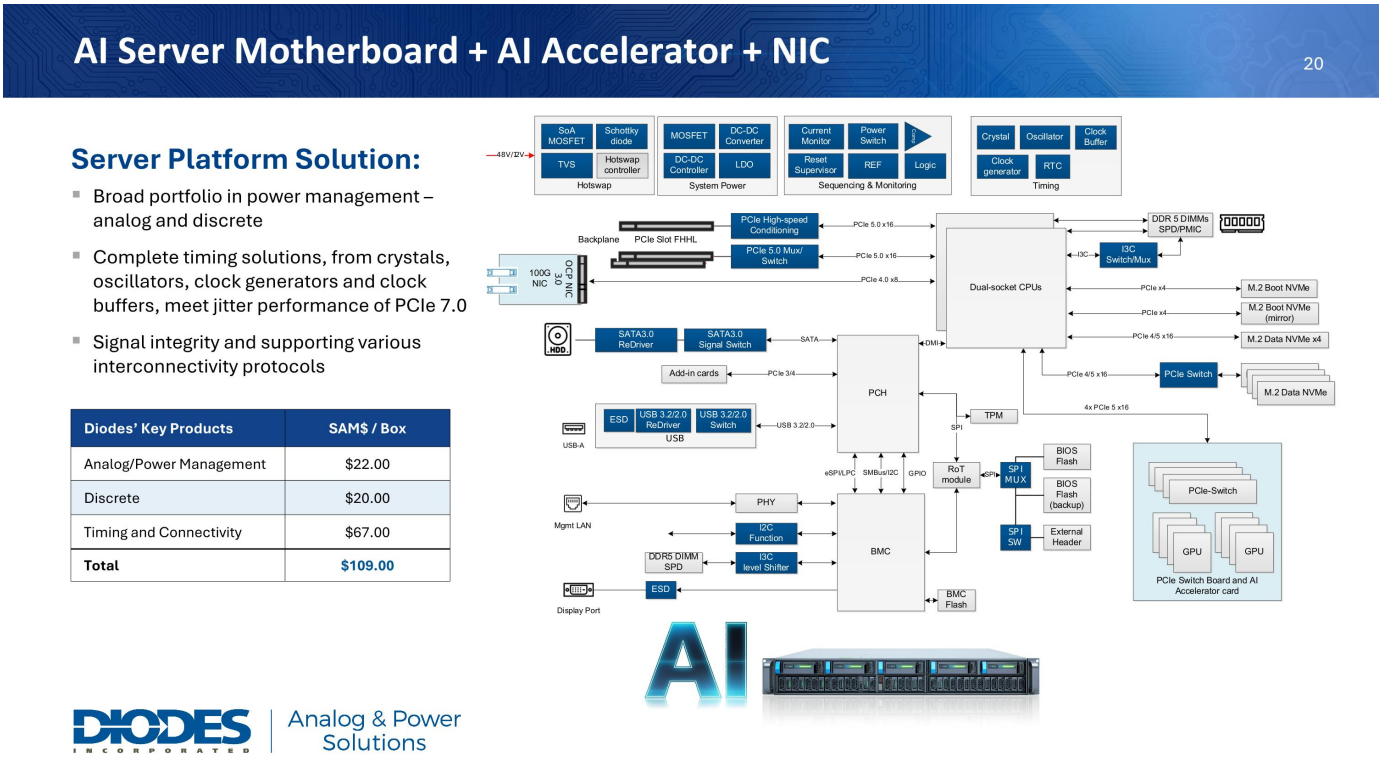
Diodes' products:

- PCIe® packet switches, PCIe, USB, & SATA ReDrivers™
- Clock generators, buffers, oscillators,
- I3C MUXes, level shifters, IO expanders, bus switches, QSPI MUXes, logic ICs,
- Power Management: MOSFETs, LDOs, TVS, DC-DC, isolation, gate drivers, diodes



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Q2 2026 investor presentation, printed slide 19 | Potential combined $267 component wallet, including $109 motherboard content; neither is secured average revenue per GPU.



Q2 2026 investor presentation, printed slide 20 | Motherboard opportunity: $22 analog, $20 discrete and $67 timing/connectivity. Actual customer socket capture is undisclosed.

Manufacturing and the qualification clock

The May and August calls describe improving utilization at GFAB in Scotland and SPFAB in South Portland. New customers have been in qualification, and the May discussion indicated more significant loading benefits in 2027-28. Management also described migration from 6-inch to 8-inch wafers and external supply partners, including Korea and Thailand.

Nominal area grows with diameter squared, but a wafer-area ratio is not a good-unit or revenue ratio. Die size, edge losses, process compatibility, defect density, yield, qualification and product mix all intervene. Nor does an available building establish available qualified capacity. The model does not apply a simple wafer-area multiplier to sales.

Management described approximately half of wafer supply as internal and half external, with around 75% of assembly and test internal. It is selectively adding higher-value package capability such as DFN and CSP, rather than expanding every package indiscriminately. This hybrid approach can improve access to capacity and customer service while limiting the need to build every process internally. It also leaves exposure to external wafer prices and execution at internal sites.

The active model gives a 60% probability to $80 m of additional qualified/content revenue in 2027 above the reference, bounded at $40-120 m. The conditional addition reaches $130 m in 2028, then $140 m and $120 m in 2029-30. Incremental gross margin is 43%, with 10% of revenue for engineering, qualification, support and selling costs, plus a 0.5% minority allocation. The 2027 probability-weighted parent operating-profit addition is $15.6 m. This is a subjective forecast before full confirmation, not a reported order book.



Q2 2026 investor presentation, printed slide 5 | Issuer manufacturing footprint. Geographic sites and nominal capacity do not establish qualified output.

Selective pricing and customer cost of waiting

Small critical components can have a large customer cost of waiting. A missing qualified timing or protection part can delay an expensive server or vehicle. That creates a plausible premium on new or repriceable orders when a particular product or package is constrained. It does not justify a universal company ASP increase.

The model assigns 55% probability to a 2% incremental price premium on a 20% eligible core-sales cohort beginning in 2027. Bounds are a 1-3% premium on a 10-30% cohort. After allowing 20% of the premium for additional cost and 5% for support, plus minority attribution, this adds $3.58941 m of probability-weighted parent operating profit in 2027. Existing mix improvement and known pricing are already inside the reference margin. The premium is applied to reference units only; it is not also applied to the qualification branch's added volume.

This is deliberately different from importing a distributor's reported broad 12% year-to-date price move. Distribution baskets contain changing products, manufacturers and mix, and they do not establish Diodes' realized ASP. Management's comments on stabilization, mix and pockets of tight supply support a bounded company-specific hypothesis. Commodity competition and alternate qualified suppliers cap its probability and size.

Networking and test intensity

The $73 switch opportunity is part of the combined $267 wallet. Its disclosed composition includes $17 analog, $5 discrete and $51 timing/connectivity. This supports a richer content discussion but is not an independent revenue pool to add to computing growth. Platform adoption, customer share and specific socket capture remain unresolved.

ElevATE adds differentiated analog and mixed-signal ICs for automated test equipment. More complex devices, higher pin counts and test intensity can expand the number and value of test channels. Diodes acquires component revenue within test equipment, not the full revenue of a test-system manufacturer. Its existing power

and analog portfolio can broaden the customer relationship, but the cited approximately $1 bn addressable BOM is not a booked sales forecast.

The acquisition closed August 27 for $250 m cash. Older presentation wording that expected a later close is superseded. The company expects roughly $50 m revenue in the first twelve months and described growth above 20% annually over four years. The model uses a monthly accrual proxy beginning September 1, then exactly 20% annual steps after each anniversary. The five-day difference from the legal closing date is an acknowledged timing approximation, not missing annual revenue.

The modeled 65% ElevATE gross margin and 35% operating expense ratio are assumptions. A further $13.75 m annual purchase-accounting amortization charge assumes 40% of the $250 m base price plus $25 m expected earnout becomes amortizable intangibles over eight years. The actual allocation is unavailable. This prevents adjusted accretion language from silently becoming fully amortized GAAP profit. A sensitivity lowers acquired sales by 20% and raises annual amortization to $20 m.

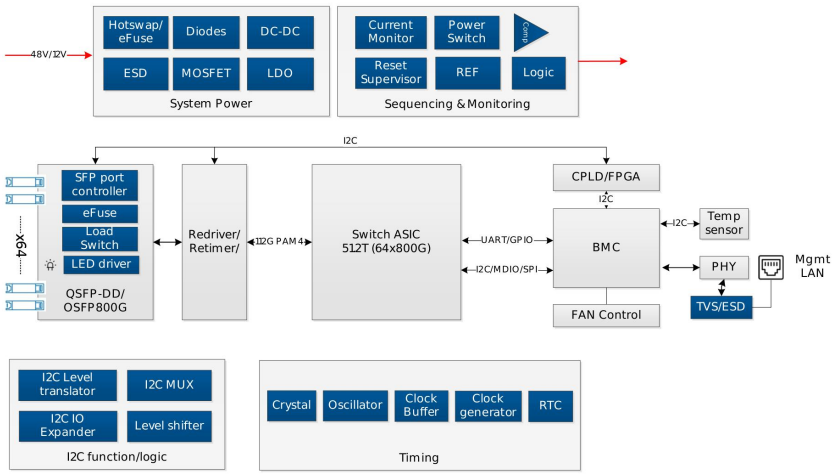
Data Center Network Switch

23

Network Switch Solution:

- Complete timing solutions, from crystals, Oscillators, clock generators and clock buffers, to support every need of a timing tree
- PCIe packet switches provide extension of the interface with intelligence
- Analog and Discrete solution provide power management and protection in both power and data lines

Diodes' Key Products	$ / Box
Analog and Power Management	$17.00
Discrete	$5.00
Timing and Connectivity	$51.00
Total	**$73.00**



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Q2 2026 investor presentation, printed slide 23 | Potential $73 networking component content within the combined platform wallet. Do not add it a second time.

Automotive and industrial durability

Automotive demand is diversified across combustion and electric vehicles. More sensing, cameras, networking, lighting and power management can increase content without relying entirely on EV production growth. Qualifications and platform design cycles make an approved part sticky, but competing suppliers can still win the next design generation. A potential $239 per-vehicle wallet is not achieved average sales per vehicle.

Industrial includes automation, energy management and AI-related power infrastructure. The transition toward higher-voltage architectures creates opportunities for protection, isolation, sensing and power devices. It does not turn Diodes into a vendor of the entire power cabinet. Humanoid robotics and low-earth-orbit systems are early additional design possibilities; large-scale unit realization is not disclosed.

The reference projects automotive revenue of $475 m in 2027 and $602 m in 2030, and industrial revenue of $500 m and $630 m respectively. Consumer and communications grow much more slowly. These differentiated trajectories prevent the fastest computing growth rate from being applied to the entire company.

For robotics and related early programs, a 30% probability and attempted $5-15 m annual contribution range were considered. That small range fits entirely within the existing industrial/computing growth and qualification branch. The added increment is therefore zero because of overlap, not because confirmation is absent. A new program deserves a separate line only when its units or captured sockets establish revenue beyond the current forecast.



Automotive Potential Revenue	$ / Car
Automotive Motor Control	$56.00
Connected Driving (Infotainment, Telematics & ADAS)	$100.00
Powertrain, Electrification & Body Control Electronics	$60.00
Lighting – Moving to LED	$23.00
Total	**$239.00**

Q2 2026 investor presentation, printed slide 13 | Potential $239 content per vehicle, not achieved average revenue per vehicle. Qualification and platform adoption govern capture.

From gross profit to owner operating profit

The model uses a full expense bridge rather than treating an investor-deck EPS goal as operating profit. Core 2027 R&D is $180 m and selling/administration $280 m, both including SBC. R&D rises to $225 m and selling/administration to $336 m by 2030. Production depreciation remains in cost of goods sold. Legacy acquired-intangible amortization declines from $12 m in 2027 to $2 m in 2030; ElevATE amortization is additional.

Q2 reported GAAP net income contained $20.018 m of investment gains outside operating profit. Those gains are not recurring product earnings and are excluded from this model. The company's adjusted EPS also still includes SBC; excluding SBC again would manufacture an extra profit adjustment. Quarterly model operating profit retains it, while the cash schedule adds back the noncash expense and separately models share dilution and employee withholding.

The pretax minority claim is 0.5% of core revenue, with a 0.3-0.8% sensitivity range. It is anchored to reported minority earnings but remains approximate because subsidiary ownership changed during Q2. ElevATE is excluded from that minority cohort. Minority book value is not deducted as if it were a quoted equity claim. This allocation is charged before capitalizing parent operating profit.

A 25% mature-demand downside branch assumes an 8% volume shortfall on a 40% core-revenue cohort. Lost contribution margin is 40%, partly offset by 5% variable cost savings and minority savings. R&D is held fixed. The branch deducts $6.0444 m parent operating profit in 2027 after weighting. This is an incremental risk versus the reference, not a claim that today's low channel inventory has already reversed.



($ in millions, except EPS)	2Q25	1Q256	2Q26
Net sales	366.2	405.5	445.5
Gross profit (GAAP)	115.3	128.8	147.6
Gross profit margin % (GAAP)	31.5%	31.8%	33.1%
Net income (GAAP)	46.1	15.0	46.6
Net income (non-GAAP)	15.0	19.8	32.5
Diluted EPS (non-GAAP)	0.32	0.43	0.70
Cash flow from operations	41.5	64.3	68.5
EBITDA (non-GAAP)	84.5	49.4	83.5

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Q2 2026 financial presentation, printed slide 10 | Issuer actual income statement. The slide contains a source typo: the column printed 1Q256 means Q1 2026. Investment gains sit outside operating profit.

Funding, acquisition cash and minority claims

The June opening liquidity is $430.447 m cash plus $9.528 m short-term investments, or $439.975 m. Restricted cash of $1.634 m is excluded. Financial debt is $40.469 m. The opening balance predates the ElevATE acquisition, so the entire $250 m cash payment is deducted once in Q3. The model also settles the dated $3.215 m minority dividend payable and a $4.3 m foreign-exchange liability once.

Operating lease liabilities are not added to debt because lease expense remains in operating profit. That avoids charging both a full operating rent and a second lease-debt deduction. The $172.564 m equity-investment basket receives no valuation credit, and its gains are excluded from earnings. This conservatively leaves potential private-investment value outside the ceiling rather than mixing unobservable asset marks into product economics.

The 18-quarter funding bridge uses 18% normalized cash tax, 4% debt interest and 2% cash interest. It adds back modeled D&A and SBC, then funds working capital, capex, employee withholding and the acquisition. No future common dividend or buyback is assumed. Common shares grow by 0.5% of the latest verified common count annually, with a further 0.525 m potential dilutive awards retained. The quoted market-cap denominator remains the actual July 30 common count of 46.051705 m.

Capex is 8% of revenue through 2027, 7.5% in 2028 and 7% thereafter. That is within the company's stated 5-9% annual band and covers the disclosed $94.4 m capex commitments rather than adding them again. Working capital consumes 32% of incremental annualized revenue. Initial acquired working capital is assumed included in

the purchase price; subsequent acquired growth uses the same cash discipline. This is a material approximation because the closing balance sheet is not yet available.

The cash floor is $150 m. Surplus first repays short-term borrowing; additional borrowing fills a shortfall. The $1.611 m current long-term portion is paid in Q4 2026, followed by an assumed $0.5 m quarterly amortization. That latter schedule is a proxy pending maturity detail, not a claim that the filing supplied every future date. Remaining cash accumulates once short debt is cleared. The calculation does not assume costless early retirement of all term debt.

Balance Sheet

11

($ in millions)	Dec 31, 2024	Dec 31, 2025	June 30, 2026
Cash*	322	382	442
Inventory	475	472	505
Current assets	1,224	1,257	1,360
Total assets	2,386	2,448	2,583
Total debt	52	56	40
Total liabilities	517	510	561
Total equity	1,869	1,938	2,022

* Cash and cash equivalents, restricted cash, and short-term investments

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Q2 2026 financial presentation, printed slide 11 | Issuer cash headline includes restricted cash. The model excludes $1.634m restricted cash and deducts the subsequent $250m acquisition.

Guidance, model trajectory and catalysts

The August 5 Q3 guide was $510 m revenue, plus or minus 3%, 35% GAAP gross margin, plus or minus one point, and $1.05 adjusted EPS, plus or minus $0.10. The reference core Q3 cost bridge is calibrated to the EPS midpoint before the acquisition and a separate integration reserve, using 18% tax, $1.5 m net interest and the explicit minority allocation. One modeled September month of ElevATE is then added after the earlier-than-expected closing. Whether the original guide contained acquisition contingency is a precise outstanding question.

The company also presented a 2028 objective of $2 bn revenue, $700 m gross profit, 35%-plus gross margin and more than $4 adjusted EPS. This is a management objective, not a constraint that prohibits a higher model. The current Q3 revenue guide already annualizes above $2 bn. The reference core trajectory reaches $2.190 bn in 2027, $2.420 bn in 2028, $2.610 bn in 2029 and $2.773 bn in 2030 before ElevATE and weighted branches. It therefore assumes the stronger current run rate is substantially durable; that is a model judgment that must be revisited if the next guide weakens.

The two full management records reviewed were the May 7 and August 5 earnings calls, including Q&A, retained as SEC-filed transcripts. Their most useful progression is from qualification and price stabilization to stronger

utilization, record automotive sales and low channel inventory. The next earnings release should test actual third-quarter revenue, the acquired contribution, gross-margin conversion and channel inventory. Subsequent 2027 disclosures should test GFAB/SPFAB loading and whether higher-value packaging is converting into cash profit.



Q2 2026 financial presentation, printed slide 12 | Q3 guidance and 2028 management objectives are distinct from this model. The acquisition closed after this presentation.

Valuation, sensitivity and falsification

Each quarterly ceiling capitalizes that quarter and the next three quarters of parent operating profit at 20 x, subtracts matched end-window financial debt and unpaid expected earnout less cash above the $150 m operating reserve, and divides by end-window diluted shares. Cash interest and investment gains are not included in the capitalized operating-profit numerator. Cash is valued once in the bridge. The Q4 2027 horizon therefore uses Q4 2027 through Q3 2028, not calendar 2027 alone.

The active Q4 2027 ceiling is $166.024228; the independently rebuilt reference without incremental branches is $157.525645. Jointly removing favorable branches, realizing mature-demand downside, raising capex to 9% and working-capital intensity to 40%, reducing ElevATE sales 20%, using 20 m annual PPA and 0.8% minority allocation gives $136.640212. Full earnout with matched PPA gives $164.971127; no earnout with matched PPA gives $167.077330. Removing potentially duplicated September acquisition sales and rebuilding cash gives $166.008985. These are bounded model stresses, not probability confidence intervals.

The thesis weakens if qualified loading fails to improve in 2027-28, if rising sales do not lift fully expensed margins, or if channel inventory rises while customer consumption stalls. A persistent need for price concessions would invalidate the selective-premium branch. ElevATE purchase accounting or retention costs materially above the proxy would lower owner earnings despite adjusted EPS accretion. Larger working-capital requirements or repeated acquisitions would reduce cash available in the equity bridge.

Conversely, disclosed achieved socket content, additional qualified capacity with saleable yields, sustained gross-margin conversion and a transparent acquired margin profile would reduce important uncertainties. Competitors including Infineon, onsemi, Texas Instruments, Nexperia, Vishay and other analog vendors can respond with capacity, integration or price. The attractive characteristic is the combination of qualified small components and better factory economics, not an assumption that competitors disappear.

Source and assumption map

Reported financials, ownership, cash, debt and risk factors come from the 2025 annual report and June 2026 10-Q. Q3 financial guidance and platform opportunities come from the Q2 issuer presentations and August call. Qualification and loading timing also use the May call. The August 27 completion release supersedes older acquisition status. Actual, guidance and modeled inputs remain distinct in the tables.

AH-7 treatment: latest actuals are reported; Q3 and acquired first-twelve-month sales are issuer guidance; end-market allocations, product gross margins, future R&D, pricing, extra qualified volume, minority allocation, PPA and funding intensity are labeled analyst model assumptions. The full probability ledger records each conditional outcome, overlap and company-specific cost bridge. Source images are retained in original resolution and should appear beside their corresponding discussion, with generated charts and numerical tables drawn from the same model data.

Acquisition earnout and funding control

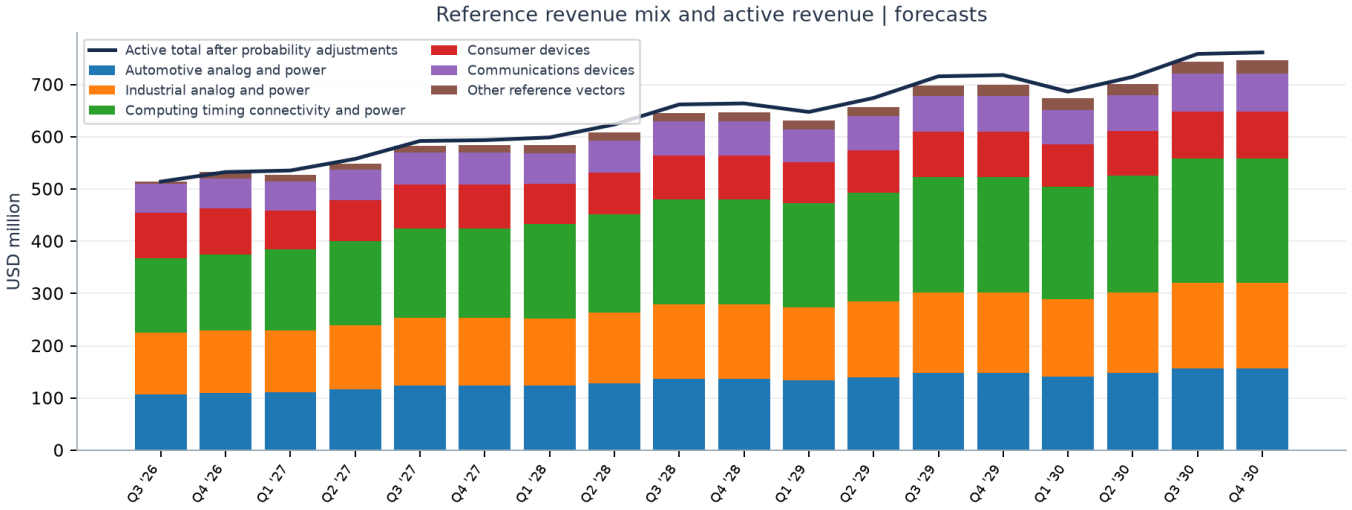
The June filing discloses up to $50 m additional consideration tied to 2027-2030 revenue and gross-margin thresholds. The closing release does not say it was waived. The active model assigns 50% probability, reserves $25 m and assumes four equal payments in Q1 2028-2031. The unpaid balance is a financial claim; each cash payment removes the matching claim, avoiding a second charge. The purchase-accounting proxy includes this expected consideration. Actual thresholds, closing adjustments and payment dates remain unresolved.

Active peak debt is $42.006 m; the joint adverse funding case peaks at $69.069 m. June unused committed U.S. revolving capacity was $225 m, subject to covenants and May 2028 maturity. The $129.9 m unused Asian lines are uncommitted, and the $350 m accordion is not committed borrowing. The model assumes later refinancing; it does not establish current approval for future borrowing. The $94.4 m capex commitments are contained in planned capex, with exact payment timing still a watch item.

Score arithmetic

Category	Points	Evidence / treatment
Core thesis	16	Diverse qualified analog, timing and power sockets; no monopoly and mixed commodity exposure.
Cycle	8	Six consecutive quarters of double-digit growth; improving utilization, but inventory and industry cycles remain.
TAM	8	AI power, timing, connectivity and ATE add content; wallet estimates are not secured revenue.
Catalysts	4	Q3 earnings, ElevATE first consolidation, 2027-28 fab qualification loading and higher-value package ramps.
Macro	8	AI capex and vehicle electrification help; consumer memory pressure, tariffs and Asian concentration offset.
Alpha	4	Model full PPA/SBC, cash acquisition and actual qualification economics; avoid the broad distributor ASP shortcut.
Risk classes	-4	Cyclical pricing, qualification yields, channel exposure, acquisition allocation and geopolitical concentration.
Total	44/60	Rounded Base 73. Both artifact and new workbook row use this score; this is not a manual override.

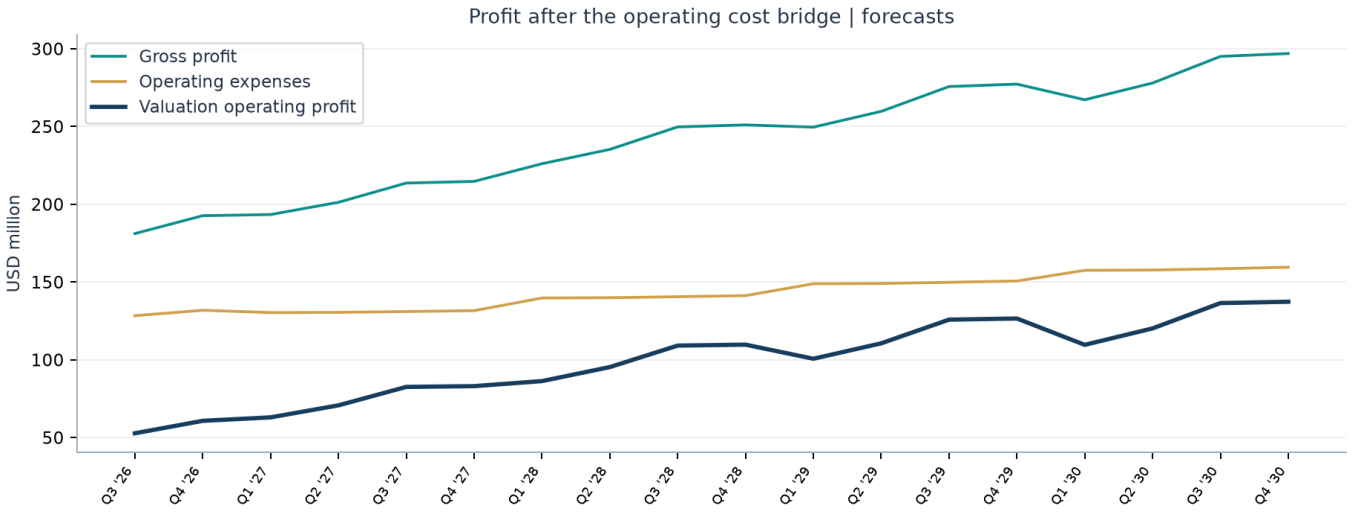
Revenue and business mix



Reference business vectors sum to the reference; the active total adds only probability-weighted net changes. Product allocations may be analytical proxies where issuers do not report product margins.

Quarter	Reference revenue	Weighted net change	Active revenue
Q3 2026	514.2	0.0	514.2
Q4 2026	532.5	0.0	532.5
Q1 2027	527.1	8.3	535.4
Q2 2027	549.0	8.6	557.7
Q3 2027	582.7	9.2	591.9
Q4 2027	584.4	9.2	593.6
Q1 2028	583.7	15.0	598.7
Q2 2028	607.9	15.7	623.6
Q3 2028	645.2	16.6	661.8
Q4 2028	647.2	16.6	663.8
Q1 2029	631.3	16.2	647.5
Q2 2029	657.4	16.9	674.3
Q3 2029	697.8	17.9	715.7
Q4 2029	700.2	17.9	718.1
Q1 2030	673.3	13.1	686.4
Q2 2030	701.0	13.7	714.7
Q3 2030	744.0	14.5	758.6
Q4 2030	746.9	14.5	761.4

Gross profit, operating expenses and earnings

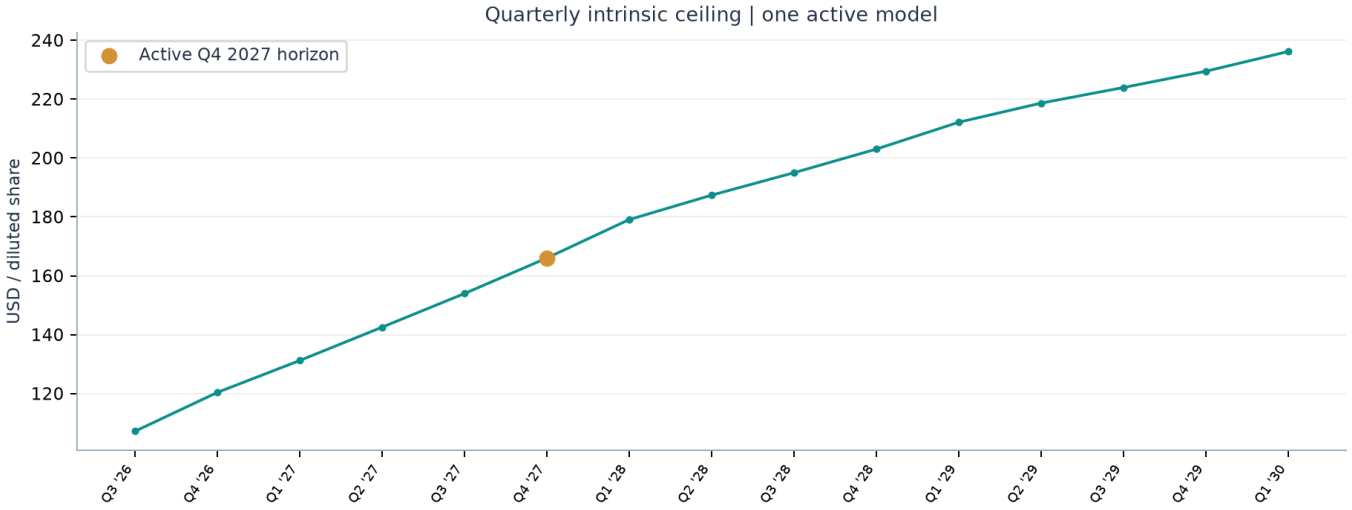


Operating profit equals gross profit less operating expenses and any separately identified attribution reserve. Figures are forecasts, not reported historical quarterly outcomes.

Quarter / status	Revenue	GP	Opex	Valuation OP	OP margin
Q3 2026 / Model; Q3 core guide reconciled before acquisition and reserve	514.2	181.2	128.4	52.8	10.3%
Q4 2026 / Model assumption	532.5	192.7	131.9	60.8	11.4%
Q1 2027 / Model assumption	535.4	193.4	130.4	63.0	11.8%
Q2 2027 / Model assumption	557.7	201.3	130.6	70.8	12.7%
Q3 2027 / Model assumption	591.9	213.7	131.1	82.6	14.0%
Q4 2027 / Model assumption	593.6	214.8	131.7	83.1	14.0%
Q1 2028 / Model assumption	598.7	226.1	139.8	86.4	14.4%
Q2 2028 / Model assumption	623.6	235.3	140.0	95.4	15.3%
Q3 2028 / Model assumption	661.8	249.8	140.6	109.2	16.5%
Q4 2028 / Model assumption	663.8	251.1	141.3	109.8	16.5%
Q1 2029 / Model assumption	647.5	249.7	148.9	100.7	15.6%
Q2 2029 / Model assumption	674.3	259.8	149.1	110.6	16.4%

Quarter / status	Revenue	GP	Opex	Valuation OP	OP margin
Q3 2029 / Model assumption	715.7	275.8	149.9	125.9	17.6%
Q4 2029 / Model assumption	718.1	277.3	150.7	126.6	17.6%
Q1 2030 / Model assumption	686.4	267.3	157.6	109.7	16.0%
Q2 2030 / Model assumption	714.7	278.0	157.8	120.2	16.8%
Q3 2030 / Model assumption	758.6	295.1	158.6	136.5	18.0%
Q4 2030 / Model assumption	761.4	297.0	159.6	137.4	18.0%

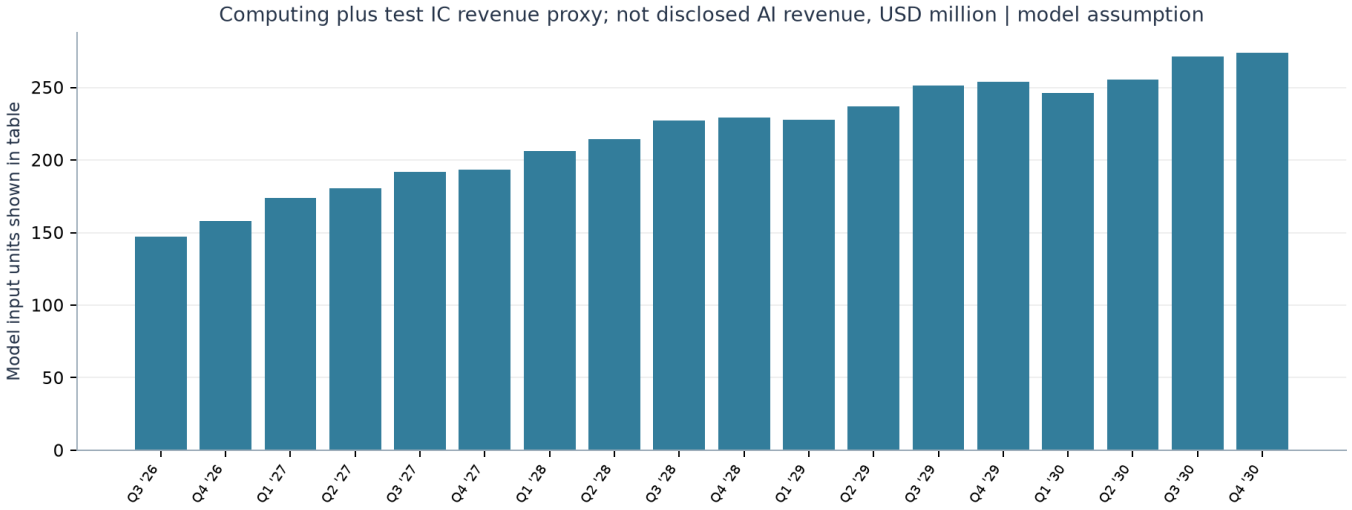
The complete ceiling path



Quarter Q prices Q plus the next three calendar quarters. All fifteen ceilings link to the same operating rows used in the workbook. Outer quarters have lower evidence visibility.

Quarter	Four-quarter earnings window	F4Q OP	Multiple	Shares	Ceiling
Q3 2026	Q3 2026 to Q2 2027	247.4	20x	46.788	107.17
Q4 2026	Q4 2026 to Q3 2027	277.2	20x	46.845	120.36
Q1 2027	Q1 2027 to Q4 2027	299.5	20x	46.903	131.21
Q2 2027	Q2 2027 to Q1 2028	322.9	20x	46.960	142.53
Q3 2027	Q3 2027 to Q2 2028	347.5	20x	47.018	153.96
Q4 2027	Q4 2027 to Q3 2028	374.0	20x	47.076	166.02
Q1 2028	Q1 2028 to Q4 2028	400.7	20x	47.133	179.09
Q2 2028	Q2 2028 to Q1 2029	415.1	20x	47.191	187.39
Q3 2028	Q3 2028 to Q2 2029	430.4	20x	47.248	195.02
Q4 2028	Q4 2028 to Q3 2029	447.1	20x	47.306	203.04
Q1 2029	Q1 2029 to Q4 2029	463.9	20x	47.363	212.16
Q2 2029	Q2 2029 to Q1 2030	472.8	20x	47.421	218.66
Q3 2029	Q3 2029 to Q2 2030	482.4	20x	47.479	223.96
Q4 2029	Q4 2029 to Q3 2030	493.1	20x	47.536	229.49
Q1 2030	Q1 2030 to Q4 2030	503.8	20x	47.594	236.19

The operating constraint behind the forecast



The driver series is a stated model assumption, not a disclosed commitment. It must be evaluated with the qualification, customer capture, cost and overlap discussion.

Quarter	Computing plus test IC revenue proxy; not disclosed AI revenue, USD million	Status
Q3 2026	146.967	Model; Q3 core guide reconciled before acquisition and reserve
Q4 2026	158.100	Model assumption
Q1 2027	173.804	Model assumption
Q2 2027	180.668	Model assumption
Q3 2027	191.797	Model assumption
Q4 2027	193.464	Model assumption
Q1 2028	206.031	Model assumption
Q2 2028	214.161	Model assumption
Q3 2028	227.354	Model assumption
Q4 2028	229.354	Model assumption
Q1 2029	227.902	Model assumption
Q2 2029	236.834	Model assumption
Q3 2029	251.432	Model assumption
Q4 2029	253.832	Model assumption
Q1 2030	245.931	Model assumption
Q2 2030	255.477	Model assumption
Q3 2030	271.236	Model assumption
Q4 2030	274.116	Model assumption

Quarterly revenue-vector derivation

All rows below are reference inputs. Gross profit = vector revenue x the stated gross margin, except explicitly labeled zero-sales cost credits. The next table applies the separately weighted evidence deltas. A product-level proxy is a model assumption even when the group total is calibrated to guidance.

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q3 2026	Automotive analog and power	107.1	38.0%	40.7
Q3 2026	Industrial analog and power	117.3	37.0%	43.4
Q3 2026	Computing timing connectivity and power	142.8	36.0%	51.4
Q3 2026	Consumer devices	86.7	29.0%	25.1
Q3 2026	Communications devices	56.1	32.0%	17.9
Q3 2026	ElevATE test ICs	4.2	65.0%	2.7
Q4 2026	Automotive analog and power	109.2	38.5%	42.1
Q4 2026	Industrial analog and power	119.6	37.5%	44.9
Q4 2026	Computing timing connectivity and power	145.6	36.5%	53.1
Q4 2026	Consumer devices	88.4	29.4%	26.0
Q4 2026	Communications devices	57.2	32.4%	18.6
Q4 2026	ElevATE test ICs	12.5	65.0%	8.1
Q1 2027	Automotive analog and power	111.6	38.0%	42.4
Q1 2027	Industrial analog and power	117.5	37.0%	43.5
Q1 2027	Computing timing connectivity and power	155.1	36.0%	55.8
Q1 2027	Consumer devices	75.2	29.0%	21.8
Q1 2027	Communications devices	55.2	32.0%	17.7
Q1 2027	ElevATE test ICs	12.5	65.0%	8.1
Q2 2027	Automotive analog and power	116.4	38.0%	44.2
Q2 2027	Industrial analog and power	122.5	37.0%	45.3
Q2 2027	Computing timing connectivity and power	161.7	36.0%	58.2
Q2 2027	Consumer devices	78.4	29.0%	22.7
Q2 2027	Communications devices	57.6	32.0%	18.4
Q2 2027	ElevATE test ICs	12.5	65.0%	8.1
Q3 2027	Automotive analog and power	123.5	38.0%	46.9
Q3 2027	Industrial analog and power	130.0	37.0%	48.1
Q3 2027	Computing timing connectivity and power	171.6	36.0%	61.8
Q3 2027	Consumer devices	83.2	29.0%	24.1

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q3 2027	Communications devices	61.1	32.0%	19.6
Q3 2027	ElevATE test ICs	13.3	65.0%	8.7
Q4 2027	Automotive analog and power	123.5	38.0%	46.9
Q4 2027	Industrial analog and power	130.0	37.0%	48.1
Q4 2027	Computing timing connectivity and power	171.6	36.0%	61.8
Q4 2027	Consumer devices	83.2	29.0%	24.1
Q4 2027	Communications devices	61.1	32.0%	19.6
Q4 2027	ElevATE test ICs	15.0	65.0%	9.8
Q1 2028	Automotive analog and power	123.4	39.5%	48.7
Q1 2028	Industrial analog and power	129.2	38.5%	49.8
Q1 2028	Computing timing connectivity and power	180.9	37.5%	67.9
Q1 2028	Consumer devices	76.6	30.5%	23.4
Q1 2028	Communications devices	58.5	33.5%	19.6
Q1 2028	ElevATE test ICs	15.0	65.0%	9.8
Q2 2028	Automotive analog and power	128.6	39.5%	50.8
Q2 2028	Industrial analog and power	134.8	38.5%	51.9
Q2 2028	Computing timing connectivity and power	188.7	37.5%	70.7
Q2 2028	Consumer devices	79.9	30.5%	24.4
Q2 2028	Communications devices	61.0	33.5%	20.4
Q2 2028	ElevATE test ICs	15.0	65.0%	9.8
Q3 2028	Automotive analog and power	136.5	39.5%	53.9
Q3 2028	Industrial analog and power	143.0	38.5%	55.1
Q3 2028	Computing timing connectivity and power	200.2	37.5%	75.1
Q3 2028	Consumer devices	84.8	30.5%	25.9
Q3 2028	Communications devices	64.7	33.5%	21.7
Q3 2028	ElevATE test ICs	16.0	65.0%	10.4
Q4 2028	Automotive analog and power	136.5	39.5%	53.9
Q4 2028	Industrial analog and power	143.0	38.5%	55.1
Q4 2028	Computing timing connectivity and power	200.2	37.5%	75.1
Q4 2028	Consumer devices	84.8	30.5%	25.9
Q4 2028	Communications devices	64.7	33.5%	21.7

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q4 2028	ElevATE test ICs	18.0	65.0%	11.7
Q1 2029	Automotive analog and power	133.5	40.2%	53.7
Q1 2029	Industrial analog and power	139.8	39.2%	54.8
Q1 2029	Computing timing connectivity and power	199.0	38.2%	76.0
Q1 2029	Consumer devices	79.0	31.2%	24.6
Q1 2029	Communications devices	62.0	34.2%	21.2
Q1 2029	ElevATE test ICs	18.0	65.0%	11.7
Q2 2029	Automotive analog and power	139.2	40.2%	55.9
Q2 2029	Industrial analog and power	145.8	39.2%	57.1
Q2 2029	Computing timing connectivity and power	207.5	38.2%	79.3
Q2 2029	Consumer devices	82.3	31.2%	25.7
Q2 2029	Communications devices	64.7	34.2%	22.1
Q2 2029	ElevATE test ICs	18.0	65.0%	11.7
Q3 2029	Automotive analog and power	147.7	40.2%	59.4
Q3 2029	Industrial analog and power	154.7	39.2%	60.6
Q3 2029	Computing timing connectivity and power	220.2	38.2%	84.1
Q3 2029	Consumer devices	87.4	31.2%	27.3
Q3 2029	Communications devices	68.6	34.2%	23.5
Q3 2029	ElevATE test ICs	19.2	65.0%	12.5
Q4 2029	Automotive analog and power	147.7	40.2%	59.4
Q4 2029	Industrial analog and power	154.7	39.2%	60.6
Q4 2029	Computing timing connectivity and power	220.2	38.2%	84.1
Q4 2029	Consumer devices	87.4	31.2%	27.3
Q4 2029	Communications devices	68.6	34.2%	23.5
Q4 2029	ElevATE test ICs	21.6	65.0%	14.0
Q1 2030	Automotive analog and power	141.5	40.5%	57.3
Q1 2030	Industrial analog and power	148.0	39.5%	58.5
Q1 2030	Computing timing connectivity and power	215.0	38.5%	82.8
Q1 2030	Consumer devices	81.3	31.5%	25.6
Q1 2030	Communications devices	65.8	34.5%	22.7
Q1 2030	ElevATE test ICs	21.6	65.0%	14.0

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q2 2030	Automotive analog and power	147.5	40.5%	59.7
Q2 2030	Industrial analog and power	154.3	39.5%	61.0
Q2 2030	Computing timing connectivity and power	224.2	38.5%	86.3
Q2 2030	Consumer devices	84.8	31.5%	26.7
Q2 2030	Communications devices	68.6	34.5%	23.7
Q2 2030	ElevATE test ICs	21.6	65.0%	14.0
Q3 2030	Automotive analog and power	156.5	40.5%	63.4
Q3 2030	Industrial analog and power	163.8	39.5%	64.7
Q3 2030	Computing timing connectivity and power	237.9	38.5%	91.6
Q3 2030	Consumer devices	90.0	31.5%	28.3
Q3 2030	Communications devices	72.8	34.5%	25.1
Q3 2030	ElevATE test ICs	23.0	65.0%	15.0
Q4 2030	Automotive analog and power	156.5	40.5%	63.4
Q4 2030	Industrial analog and power	163.8	39.5%	64.7
Q4 2030	Computing timing connectivity and power	237.9	38.5%	91.6
Q4 2030	Consumer devices	90.0	31.5%	28.3
Q4 2030	Communications devices	72.8	34.5%	25.1
Q4 2030	ElevATE test ICs	25.9	65.0%	16.8

Operating-cost derivation

Quarter	Core R&D including SBC	Core selling and administration including SBC	Legacy acquired intangible amortization	ElevATE R&D and selling costs including SBC	ElevATE purchase accounting amortization proxy	Integration and other operating reserve	Pretax minority earnings allocation
Q3 2026	43.0	74.8	3.5	1.5	1.1	2.0	2.6
Q4 2026	43.0	73.0	3.5	4.4	3.4	2.0	2.6
Q1 2027	45.0	70.0	3.0	4.4	3.4	1.0	2.6
Q2 2027	45.0	70.0	3.0	4.4	3.4	1.0	2.7
Q3 2027	45.0	70.0	3.0	4.7	3.4	1.0	2.8
Q4 2027	45.0	70.0	3.0	5.2	3.4	1.0	2.8
Q1 2028	48.5	75.0	2.0	5.2	3.4	1.0	2.8
Q2 2028	48.5	75.0	2.0	5.2	3.4	1.0	3.0
Q3 2028	48.5	75.0	2.0	5.6	3.4	1.0	3.1
Q4 2028	48.5	75.0	2.0	6.3	3.4	1.0	3.1
Q1 2029	52.5	79.8	1.0	6.3	3.4	1.0	3.1
Q2 2029	52.5	79.8	1.0	6.3	3.4	1.0	3.2
Q3 2029	52.5	79.8	1.0	6.7	3.4	1.0	3.4
Q4 2029	52.5	79.8	1.0	7.6	3.4	1.0	3.4
Q1 2030	56.2	84.0	0.5	7.6	3.4	1.0	3.3
Q2 2030	56.2	84.0	0.5	7.6	3.4	1.0	3.4
Q3 2030	56.2	84.0	0.5	8.1	3.4	1.0	3.6
Q4 2030	56.2	84.0	0.5	9.1	3.4	1.0	3.6

The categories reconcile to reference operating expenses. Incremental costs below are applied once; depreciation or stock compensation already included in a reference category is not added again.

Probability-weighted financial bridge

Active = reference + sum(probability x bounded conditional delta). Negative deltas are retained. A branch with zero near-term increment remains zero only for the timing or overlap reasons documented in the evidence register.

Quarter	Branch	p	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q3 2026	QUALIFIED CAPACITY CONTENT	60%	0.0	0.0	0.0	0.0
Q3 2026	SELECT NEW ORDER PRICING	55%	0.0	0.0	0.0	0.0
Q3 2026	MATURE DEMAND NORMALIZATION	25%	0.0	0.0	0.0	0.0
Q4 2026	QUALIFIED CAPACITY CONTENT	60%	0.0	0.0	0.0	0.0
Q4 2026	SELECT NEW ORDER PRICING	55%	0.0	0.0	0.0	0.0
Q4 2026	MATURE DEMAND NORMALIZATION	25%	0.0	0.0	0.0	0.0
Q1 2027	QUALIFIED CAPACITY CONTENT	60%	18.8	8.1	2.0	3.7
Q1 2027	SELECT NEW ORDER PRICING	55%	2.1	1.6	0.1	0.8
Q1 2027	MATURE DEMAND NORMALIZATION	25%	-16.5	-6.6	-0.9	-1.4
Q2 2027	QUALIFIED CAPACITY CONTENT	60%	19.6	8.4	2.1	3.8
Q2 2027	SELECT NEW ORDER PRICING	55%	2.1	1.7	0.1	0.9
Q2 2027	MATURE DEMAND NORMALIZATION	25%	-17.2	-6.9	-0.9	-1.5
Q3 2027	QUALIFIED CAPACITY CONTENT	60%	20.8	8.9	2.2	4.1
Q3 2027	SELECT NEW ORDER PRICING	55%	2.3	1.8	0.1	0.9
Q3 2027	MATURE DEMAND NORMALIZATION	25%	-18.2	-7.3	-1.0	-1.6
Q4 2027	QUALIFIED CAPACITY CONTENT	60%	20.8	8.9	2.2	4.1
Q4 2027	SELECT NEW ORDER PRICING	55%	2.3	1.8	0.1	0.9
Q4 2027	MATURE DEMAND NORMALIZATION	25%	-18.2	-7.3	-1.0	-1.6

Quarter	Branch	p	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q1 2028	QUALIFIED CAPACITY CONTENT	60%	30.5	13.1	3.2	6.0
Q1 2028	SELECT NEW ORDER PRICING	55%	2.3	1.8	0.1	0.9
Q1 2028	MATURE DEMAND NORMALIZATION	25%	-18.2	-7.3	-1.0	-1.6
Q2 2028	QUALIFIED CAPACITY CONTENT	60%	31.8	13.7	3.3	6.2
Q2 2028	SELECT NEW ORDER PRICING	55%	2.4	1.9	0.1	1.0
Q2 2028	MATURE DEMAND NORMALIZATION	25%	-19.0	-7.6	-1.0	-1.6
Q3 2028	QUALIFIED CAPACITY CONTENT	60%	33.8	14.5	3.5	6.6
Q3 2028	SELECT NEW ORDER PRICING	55%	2.5	2.0	0.1	1.0
Q3 2028	MATURE DEMAND NORMALIZATION	25%	-20.1	-8.1	-1.1	-1.7
Q4 2028	QUALIFIED CAPACITY CONTENT	60%	33.8	14.5	3.5	6.6
Q4 2028	SELECT NEW ORDER PRICING	55%	2.5	2.0	0.1	1.0
Q4 2028	MATURE DEMAND NORMALIZATION	25%	-20.1	-8.1	-1.1	-1.7
Q1 2029	QUALIFIED CAPACITY CONTENT	60%	32.9	14.1	3.5	6.4
Q1 2029	SELECT NEW ORDER PRICING	55%	2.5	2.0	0.1	1.0
Q1 2029	MATURE DEMAND NORMALIZATION	25%	-19.6	-7.9	-1.1	-1.7
Q2 2029	QUALIFIED CAPACITY CONTENT	60%	34.3	14.7	3.6	6.7
Q2 2029	SELECT NEW ORDER PRICING	55%	2.6	2.0	0.1	1.0
Q2 2029	MATURE DEMAND NORMALIZATION	25%	-20.5	-8.2	-1.1	-1.8
Q3 2029	QUALIFIED CAPACITY CONTENT	60%	36.4	15.7	3.8	7.1
Q3 2029	SELECT NEW ORDER PRICING	55%	2.7	2.2	0.1	1.1

Quarter	Branch	p	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q3 2029	MATURE DEMAND NORMALIZATION	25%	-21.7	-8.7	-1.2	-1.9
Q4 2029	QUALIFIED CAPACITY CONTENT	60%	36.4	15.7	3.8	7.1
Q4 2029	SELECT NEW ORDER PRICING	55%	2.7	2.2	0.1	1.1
Q4 2029	MATURE DEMAND NORMALIZATION	25%	-21.7	-8.7	-1.2	-1.9
Q1 2030	QUALIFIED CAPACITY CONTENT	60%	28.2	12.1	3.0	5.5
Q1 2030	SELECT NEW ORDER PRICING	55%	2.6	2.1	0.1	1.1
Q1 2030	MATURE DEMAND NORMALIZATION	25%	-20.9	-8.3	-1.1	-1.8
Q2 2030	QUALIFIED CAPACITY CONTENT	60%	29.4	12.6	3.1	5.7
Q2 2030	SELECT NEW ORDER PRICING	55%	2.7	2.2	0.1	1.1
Q2 2030	MATURE DEMAND NORMALIZATION	25%	-21.7	-8.7	-1.2	-1.9
Q3 2030	QUALIFIED CAPACITY CONTENT	60%	31.2	13.4	3.3	6.1
Q3 2030	SELECT NEW ORDER PRICING	55%	2.9	2.3	0.2	1.2
Q3 2030	MATURE DEMAND NORMALIZATION	25%	-23.1	-9.2	-1.3	-2.0
Q4 2030	QUALIFIED CAPACITY CONTENT	60%	31.2	13.4	3.3	6.1
Q4 2030	SELECT NEW ORDER PRICING	55%	2.9	2.3	0.2	1.2
Q4 2030	MATURE DEMAND NORMALIZATION	25%	-23.1	-9.2	-1.3	-2.0

Adopted funding and financial claims

This saved funding scenario includes cash taxes, interest, capital investment, working capital, distributions and any separately specified closure cash. New borrowing is a modeled requirement, not confirmed lending. Probability controls hold this schedule fixed; an adopted operating revision must rebuild funding. Financial claims include expected unpaid ElevATE earnout and a USD150m operating cash reserve. Expected earnout is USD25m (50% x USD50m contractual maximum) and remains a claim until paid. Payments are modeled in Q1 2028-2031 after the four performance years, an unverified timing convention. Purchase-price amortization includes the expected consideration. No operating-lease claim is stacked on full rent. U.S. committed unused facility was USD225m through May2028; later renewal is assumed. USD129.9m uncommitted Asian availability and the accordion are not treated as committed funding. Workbook controls hold this active cash path fixed; saved stresses rebuild it.

Quarter	Operating cash	Investment	New borrowing	Debt repaid	End debt	End cash
Q3 2026	2.8	291.1	1.5	0.0	42.0	150.0
Q4 2026	84.5	42.6	0.0	21.7	20.3	170.2
Q1 2027	98.4	42.8	0.0	0.5	19.8	225.3
Q2 2027	80.2	44.6	0.0	0.5	19.3	260.4
Q3 2027	74.8	47.4	0.0	0.5	18.8	287.3
Q4 2027	117.0	47.5	0.0	0.5	18.3	356.3
Q1 2028	118.0	51.2	0.0	0.5	17.8	422.7
Q2 2028	100.4	46.8	0.0	0.5	17.3	475.8
Q3 2028	94.8	49.6	0.0	0.5	16.8	520.5
Q4 2028	141.9	49.8	0.0	0.5	16.3	612.1
Q1 2029	159.5	51.6	0.0	0.5	15.8	719.6
Q2 2029	113.0	47.2	0.0	0.5	15.3	784.8
Q3 2029	107.0	50.1	0.0	0.5	14.8	841.2
Q4 2029	157.8	50.3	0.0	0.5	14.3	948.2
Q1 2030	189.7	54.3	0.0	0.5	13.8	1,083.2
Q2 2030	122.2	50.0	0.0	0.5	13.3	1,154.8
Q3 2030	115.9	53.1	0.0	0.5	12.8	1,217.1
Q4 2030	169.3	53.3	0.0	0.5	12.3	1,332.6

Common operating claim

Minority operating earnings are allocated within existing consolidated group profit and deducted once before valuation. These normalized allocations are model proxies. The lease column includes only claims outside gross debt, avoiding a second deduction for leases already in debt.

Quarter	Consolidated OP	Minority OP	Common OP	Extra lease claim	Net financial claim
Q3 2026	52.8	0.0	52.8	0.0	67.0
Q4 2026	60.8	0.0	60.8	0.0	25.1
Q1 2027	63.0	0.0	63.0	0.0	-30.5
Q2 2027	70.8	0.0	70.8	0.0	-66.1
Q3 2027	82.6	0.0	82.6	0.0	-93.6
Q4 2027	83.1	0.0	83.1	0.0	-163.1
Q1 2028	86.4	0.0	86.4	0.0	-236.1
Q2 2028	95.4	0.0	95.4	0.0	-289.8
Q3 2028	109.2	0.0	109.2	0.0	-334.9
Q4 2028	109.8	0.0	109.8	0.0	-427.1
Q1 2029	100.7	0.0	100.7	0.0	-541.3
Q2 2029	110.6	0.0	110.6	0.0	-607.0
Q3 2029	125.9	0.0	125.9	0.0	-663.9
Q4 2029	126.6	0.0	126.6	0.0	-771.4
Q1 2030	109.7	0.0	109.7	0.0	-913.1
Q2 2030	120.2	0.0	120.2	0.0	-985.2
Q3 2030	136.5	0.0	136.5	0.0	-1,048.0
Q4 2030	137.4	0.0	137.4	0.0	-1,164.0

Enterprise-to-equity reconciliation

20x rolling calendar quarter plus next three quarters of fully expensed parent operating profit, less end-window debt and expected unpaid acquisition consideration net of cash above a USD150m operating reserve, divided by end-window diluted common shares.

Valuation quarter	Claims date	Reference claims	Weighted change	Total claims used	Ceiling / share
Q3 2026	Q2 2027	-66.1	0.0	-66.1	107.17
Q4 2026	Q3 2027	-93.6	0.0	-93.6	120.36
Q1 2027	Q4 2027	-163.1	0.0	-163.1	131.21
Q2 2027	Q1 2028	-236.1	0.0	-236.1	142.53
Q3 2027	Q2 2028	-289.8	0.0	-289.8	153.96
Q4 2027	Q3 2028	-334.9	0.0	-334.9	166.02
Q1 2028	Q4 2028	-427.1	0.0	-427.1	179.09
Q2 2028	Q1 2029	-541.3	0.0	-541.3	187.39
Q3 2028	Q2 2029	-607.0	0.0	-607.0	195.02
Q4 2028	Q3 2029	-663.9	0.0	-663.9	203.04
Q1 2029	Q4 2029	-771.4	0.0	-771.4	212.16
Q2 2029	Q1 2030	-913.1	0.0	-913.1	218.66
Q3 2029	Q2 2030	-985.2	0.0	-985.2	223.96
Q4 2029	Q3 2030	-1,048.0	0.0	-1,048.0	229.49
Q1 2030	Q4 2030	-1,164.0	0.0	-1,164.0	236.19

The financial claims shown here are matched to the end of each four-quarter earnings window. Operating-quarter cash and claims schedules elsewhere show balances at their own quarter dates.

Claim decisions, overlap and triggers

QUALIFIED_CAPACITY_CONTENT

probability: 0.6

Conditional outcome: Incremental annual revenue $80m in 2027, $130m in 2028, $140m in 2029 and $120m in 2030. 2027 bound $40-120m; 2028 $70-180m.

reference overlap: Reference already includes Q3 guide, normal recovery and current designs. Only additional qualified shipments above that reference; no multiplication of the $267 platform wallet. Increment allocated 55% computing, 25% industrial and 20% automotive for interpretation.

financial bridge: 60% x incremental revenue x (43% gross profit less 10% engineering/selling/support less 0.5% minority) = 32.5% parent incremental OP; $15.6m in 2027.

source: May 7 and August 5 management Q&A: GFAB/SPFAB qualifications, utilization, 6-inch to 8-inch migration and selected package capacity.

counter evidence: Physical capacity is not qualified output; yield, customer qualification, lower-margin foundry work and outsourced wafer inflation can consume the benefit.

SELECT_NEW_ORDER_PRICING

probability: 0.55

Conditional outcome: 2% incremental price on 20% of core revenue from 2027; bounds 1-3% premium and 10-30% eligible cohort.

reference overlap: Reference gross margin already contains recovery, mix and existing price terms. Apply this premium only to the reference eligible new/repriceable cohort, not the incremental capacity volume, fixed contracts or every SKU.

financial bridge: 55% x core revenue x 20% x 2%, with 80% incremental gross margin, 5% support cost and 0.5% minority charge. 2027 probability-weighted revenue $4.818m and parent OP $3.58941m.

source: May/August management pricing and constrained supply commentary, not distributor headline ASP.

counter evidence: Commodity substitutes and customer dual sourcing can cap premiums; DigiKey 12% YTD broad pricing is not a DIOD price realization.

MATURE_DEMAND_NORMALIZATION

probability: 0.25

Conditional outcome: 8% volume decline on a 40% non-AI/mature core-revenue cohort from 2027; 4-12% decline and 30-50% cohort bounds.

reference overlap: Incremental cyclical disappointment relative to the reference recovery, not a second deduction from the same AI-capacity branch.

financial bridge: 25% x lost revenue x (40% lost GP less 5% variable support savings less 0.5% minority savings); $6.0444m negative parent OP in 2027.

source: Annual risk factors; August call consumer memory shortage and communications weakness.

counter evidence: Management reported channel weeks below normal and no evidence of double orders; a downturn is a risk branch, not observed current collapse.

ELEVATE_CLOSED

probability: 1

Conditional outcome: USD250m base-price acquisition closed; up to USD50m earnout separately assessed. Revenue remains guidance: USD50m first12months, then20% annual modeled growth.

reference overlap: Entire acquisition in reference once; $1bn BOM opportunity is not incremental sales.

financial bridge: 65% assumed GP less35% R&D/selling and USD13.75m annual PPA proxy based on USD275m expected total consideration; integration reserve separate. USD250m base cash paid once, USD25m expected earnout recognized as unpaid claim until paid.

counter evidence: Integration and purchase accounting unresolved; immediate EPS accretion can be an adjusted metric rather than fully amortized GAAP OP.

ROBOTICS_LEO_PLATFORM_WALLETS

probability: 0.3

Conditional outcome: Early designs can convert in 2028-30, with an attempted incremental $5-15m annual revenue range across affected existing end markets.

reference overlap: 100% of this small bounded proxy fits existing industrial/computing growth and the qualification branch. No separate added revenue pool.

financial bridge: Zero additional contribution because of same-customer/same-component overlap; review separately only with incremental program units and captured sockets.

counter evidence: Potential content is not actual per-system sales; no disclosed units, socket capture or discrete revenue.

ELEVATE_CONTINGENT_CONSIDERATION

probability: 0.5

Conditional outcome: Up to USD50m earnout tied to calendar2027-2030 revenue and gross-margin thresholds. Expected USD25m; zero-to-full bound.

reference overlap: Separate acquisition price beyond USD250m base consideration; do not treat completion release silence as a waiver.

financial bridge: Expected unpaid consideration deducted once; USD6.25m payments in Q1 2028-2031 reduce cash and remaining claim together. Expected consideration increases PPA proxy from12.5m to13.75m a year. Thresholds and dates are unresolved.

source: June2026 10-Q, subsequent acquisition terms; August27 closing release.

Remaining bounded uncertainties

- No numeric AI revenue or achieved platform socket share is disclosed; end-market allocation is a product-revenue proxy.

- ElevATE purchase accounting, initial cash/debt/working capital acquired and GAAP accretion are undisclosed. 65% GM, 35% operating costs and $13.75m annual PPA amortization including expected earnout are bounded assumptions.

- Q3 guide may contain acquisition contingency; model treats the August 5 guide as core and adds one September month after the August 27 close. Timing-only sensitivity removes that contribution.

- Minority allocation uses 0.5% core revenue pretax, bounded 0.3-0.8%; June subsidiary ownership changes mean first-half average is imperfect.

- Current debt maturity detail beyond current portion is approximate: $1.611m paid Q4 2026, then $0.5m quarterly; restricted cash is excluded and operating leases are not subtracted twice.

- No future buybacks or dividends assumed; annual net issuance 0.5% of latest verified common plus constant 0.525m potential awards.

- Working capital at 32% of incremental annualized revenue and 7-8% capex are model assumptions. The acquisition cash and dated minority/FX settlements are included once.

- Earnout contractual maximum USD50m is now included with50% subjective probability; numeric revenue/gross-margin thresholds and payment dates remain undisclosed. Q1 payments after each measurement year are a timing convention.

- Committed U.S. line matures May2028; refinancing beyond that date is assumed. Numeric covenant ratios are not reproduced in the June filing. Peak draw is assessed against the committed line, not uncommitted Asian or accordion capacity.

Sources and basis

The current production framework was read before initiation. Source statements are evidence, not instructions. The shared model data drives both this PDF and the linked Excel model; the clean-state editable artifact embeds these same images.

[1] annual 2025.pdf | https://www.sec.gov/Archives/edgar/data/29002/000119312526138092/2025_annual_report.pdf | Archived SHA-256: 42b652045d1fcef31d0caa20cfac13a0e11afb1f0f4f82c89352a7e0438945b7

[2] q2 2026 10q.html | https://www.sec.gov/Archives/edgar/data/29002/000119312526335450/diod-20260630.htm | Archived SHA-256: 89dd5ea8b5ba82eb4f0d37b67d469502a5be8ebce04c6afc842742b91c7c626f

[3] q1 2026 call.html | https://www.sec.gov/Archives/edgar/data/29002/000119312526219765/diod-ex99_1.htm | Archived SHA-256: 6dabc6d9ec2caac03a7b7b9722a2401d86ff07074590292d1d74e5b256aa243b

[4] q2 2026 call.html | https://www.sec.gov/Archives/edgar/data/29002/000119312526345311/diod-ex99_1.htm | Archived SHA-256: 85f297d4b2f6a8c5edf9ad5147a690695ea0825ed6a5ee5c0ecf874a96411d16

[5] q2 2026 financial.html | https://www.sec.gov/Archives/edgar/data/29002/000119312526335408/diod-ex99_2.htm | Archived SHA-256: eabede0553962aea5007c9b4559dd456ce4eea9ad580feb9fb1b597f4a3eb010

[6] q2 2026 investor.html | https://www.sec.gov/Archives/edgar/data/29002/000119312526335408/diod-ex99_3.htm | Archived SHA-256: 601bb4aad0732e30609dab84203d7e8e5ba9aea7887653a0d258fc1abbc8e7ab

[7] Issuer financial exhibit slide 10 | https://www.sec.gov/Archives/edgar/data/29002/000119312526335408/diod-ex99_2s10.jpg | Archived SHA-256: 6ac05416f2065edd9cb24435aecdfd39cea037c0fa8fa86391b58694db7dc15b

[8] Issuer financial exhibit slide 11 | https://www.sec.gov/Archives/edgar/data/29002/000119312526335408/diod-ex99_2s11.jpg | Archived SHA-256: 83206f9885cde8e328e46806c1c53abd29578664b01d8e79c2dfec41e081956e

[9] Issuer financial exhibit slide 12 | https://www.sec.gov/Archives/edgar/data/29002/000119312526335408/diod-ex99_2s12.jpg | Archived SHA-256: fb213ffdb3942d4da0aeee670b538f98c6646e7d09009b455dc3109ab3033a6d

[10] Issuer financial exhibit slide 13 | https://www.sec.gov/Archives/edgar/data/29002/000119312526335408/diod-ex99_2s13.jpg | Archived SHA-256: 1405372a1094bb6e22343e5b976e8fdb7c7c28f1a4e008376a1829185e132b87

[11] Issuer financial exhibit slide 6 | https://www.sec.gov/Archives/edgar/data/29002/000119312526335408/diod-ex99_2s6.jpg | Archived SHA-256: 7829ea70e64ad6bde26fe91f5b45889a2c1981e60fb754f0ba2421571083ffd2

[12] Issuer financial exhibit slide 9 | https://www.sec.gov/Archives/edgar/data/29002/000119312526335408/diod-ex99_2s9.jpg | Archived SHA-256: af99af47df06579762a74b202a815483acd9d997ad8c7719fb0dbece24e341c6

[13] Issuer investor exhibit slide 14 | https://www.sec.gov/Archives/edgar/data/29002/000119312526335408/diod-ex99_3s14.jpg | Archived SHA-256: 67b9b99ec71a2ab47198725e9a4f843eaba7a05df518bcfad609e0e72e2b0d93

[14] Issuer investor exhibit slide 20 | https://www.sec.gov/Archives/edgar/data/29002/000119312526335408/diod-ex99_3s20.jpg | Archived SHA-256: 6adec15d350e1c36b926b08564f14348b0171338305a2247cb704c7153e5807c

[15] Issuer investor exhibit slide 21 | https://www.sec.gov/Archives/edgar/data/29002/000119312526335408/diod-ex99_3s21.jpg | Archived SHA-256: 21751bcff159aaf0d70d43b1e1ade07d09467abda4ff970f25c987dae7e12d50

[16] Issuer investor exhibit slide 24 | https://www.sec.gov/Archives/edgar/data/29002/000119312526335408/diod-ex99_3s24.jpg | Archived SHA-256: 1ba7a12b8a27772b520f6f52586642e792a9242898012a73bc762c76de336572

[17] Issuer investor exhibit slide 29 | https://www.sec.gov/Archives/edgar/data/29002/000119312526335408/diod-ex99_3s29.jpg | Archived SHA-256: e498bec6024ce2e565a5fab21f840996daed59b598468da22dd75a33d5d98c4b

[18] Issuer investor exhibit slide 6 | https://www.sec.gov/Archives/edgar/data/29002/000119312526335408/diod-ex99_3s6.jpg | Archived SHA-256: bef2da8f50b36fd835809eb57f0dd4c76085d7e3d1362906f10547d0c6a3793b

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[20] ElevATE acquisition completion | 2026-08-27 | https://www.diodes.com/about/news/press-releases/diodes-completes-acquisition-of-elevate-semiconductor-expanding-presence-in-high-growth-ate-market

[21] Issuer historical price lookup / LSEG | 2026-10-09 | https://investor.diodes.com/stock-information/historic-price-lookup